

Improving lives – The Work, Health and Disability Green Paper

Joe Ahern, ABI, 2017



Association of British Insurers

The Government and income protection

- Objective to “halve the disability employment gap.”
- Necessitates a focus on staff retention
- Limitations of Fit for Work and the Fit Note
- Strong performance of insurer provided rehabilitation through GIP



The Green Paper and insurance

- The document explicitly talks about group income protection as being part of the solution to closing the disability employment gap and supporting employers to retain staff with health conditions (para 211).
- Explores a Government run 'one stop shop' to help employers establish the business case for covering their staff with group income protection (para 167).
- *"We think group income protection insurance policies have a much greater role to play in supporting employers in taking this action and therefore want to explore why larger employers are not making better use of these products and what would encourage them to do so"* (para 211).
- It calls for greater action to improve take up for smaller employers, arguing that insurers should develop tailored products to meet the needs of microbusinesses. It also talks of the need to *"look at how such employers could be supported to pool resources to purchase existing products as a collective"* (paras 212 and 213).
- In general, the Green Paper talks about a bigger role for employers, including changes to SSP and greater responsibilities.
- Reconsidering the Fit Note and sickness certification

The ABI's proposals for change

- Improve financial resilience by building the population's awareness and understanding of their protection needs through initiatives such as the Financial Advice Market Review (FAMR) and the Single Financial Guidance Body (SFGB).
- Introduce a tax incentive for employers that cover their staff with Group Income Protection (GIP). This would help businesses financially, but also crucially improve access to, and awareness of, protection solutions.
- Remove the disincentives created by the introduction of Universal Credit to employees and the self-employed taking out their own Individual Income Protection (IIP) policy.
- Explore how employers could be encouraged to issue an annual 'protection statement' to their employees in order to make them aware of their combined sick pay and benefit entitlement in the event of an absence from work.
- Create an index of employers ranking them based on how they support staff with disabilities and health conditions,
- Companies should consider how to best promote disability inclusion; some may find it useful to appoint 'Board champions' to promote disability diversity in the workplace.
- Consider how sickness certification can be improved in order to ensure that individuals absent from work for health reasons receive the right support quickly.



Other updates

- **Genetics** - the review of the Concordat & Moratorium on Genetics and Insurance (C&M) with the Department of Health (DH) will commence in Q1 2017, with the publication of The Chief Medical Officer (CMO) Dame Sally Davies's report on Genomics, set to be published in February 2017. There will be a public consultation on the review around the summer time. DH committed to concluding review before the end of the year.
- **Access to Medical Records** – last month, the ABI published it's Principles for requesting and obtaining medical information electronically from GPs. Currently, these only apply to underwriting.
- **Statement of Best Practice on Critical Illness Cover** – review to kick off this year. We expect to be able to publish the new Statement before the end of the year.



Improving lives with Income Protection – Engaging with the Government’s Work, Health and Disability Green Paper – 23 March

Keynote Speaker

- **Penny Mordaunt MP**, Minister of State for Disabled People, Health & Work

Confirmed speakers

- **Charlotte Spencer**, Joint Head of Work & Health Policy, Work & Health Unit
- **Russell Higginbotham**, Head of Life & Health Products, Swiss Re and Chair of ABI Protection Committee
- **Steve Bridger**, Managing Director of Group Protection, Aviva
- **Justin Harper**, Head of Marketing & Industry Relations, LV=
- **Nick Homer**, Propositions Manager - Corporate Risk, Zurich
- **Liz Walker**, HR Director, Unum
- **Jo Berriman**, Senior Associate, Mercer Marsh Benefits
- **Roy McLoughlin**, Financial Planner, Master Adviser
- **Tony Wilson**, Director of Policy and Research, Learning and Work Institute

